Interview Guide for Assessing Explainable AI (XAI) Needs of Finance Regulators

Background and Institutional Context

1. **Role and responsibilities**
    - Can you briefly describe your role in your institution?
    - What types of supervisory or oversight activities are you involved in?
2. **Supervisory scope**
   Which of the following key activities fall under your remit?
    - Licensing and authorization
    - Micro-prudential supervision
    - Macro-prudential supervision
    - Conduct supervision
    - AML/CFT
    - Stress testing
    - Other (please specify)
3. Would you describe your background as more technical, policy-oriented, legal, or operational?

AI Use in Supervisory Activities

5. In which of these supervisory areas, if any, is AI currently used?
6. For each area where AI is used:
    - What type of AI systems are deployed?
    - What problems do they help solve?
    - Are you a developer, validator, operator, or decision-maker using AI outputs?
7. Do you make final decisions based on AI outputs, or are they advisory tools?
8. How do you view explainability? What comes to mind or if explicit that you track these, in what ways?

Performance Evaluation of AI Systems

28. How do you evaluate the performance of AI systems?
    - What KPIs do you track? (e.g., accuracy, false positives, fairness metrics, stability, supervisory usefulness)
    - Do you track explainability performance?
9. Who are your main stakeholders (e.g., supervised banks, internal teams, policymakers, the public)? Who do you report to?
10. How do your definitions of explainability differ from the ones you report to or who consumes the explanation?

Challenges in Developing or Using AI

9. What challenges have you encountered when developing, procuring, or using AI solutions in supervision?
   Probe across:
   - Explainability
   - Robustness and reliability
   - Compatibility with legacy IT systems
   - Ongoing digital transformation efforts
   - Competing objectives (accuracy vs. transparency, speed vs. control)
   - Limited institutional preparedness
   - Resistance to change
   - Lack of data analytics staff or expertise
10. Which of these challenges do you consider the most critical and why?

Governance and Regulatory Framework

11. Does your country have an overarching framework for AI governance?
    - Is it specific to finance?
    - Is it aligned with international standards (e.g., EU AI Act, BIS principles)?
12. How is compliance with AI governance requirements monitored or enforced in your institution?

    If in the EU:

    - How does your institution interpret or operationalize GDPR's "right to explanation"?

    If outside the EU:

    - Is there an equivalent right to explanation or due process mechanism?
14. What constitutes a decision with "legal or significant effect" in your jurisdiction?

Model Transparency and Black-Box Systems

15. Does your institution use black-box models internally?
16. Are supervised banks allowed to use black-box models?
    - Under what conditions?
17. Is there a preference for:
    - Intrinsically interpretable models?
    - Or complex models supplemented with XAI layers?
18. What is your view on methods such as SHAP or LIME?
    - Are they sufficient?
    - Are they understandable for supervisors?
19. Can you describe a recent situation where AI supported a supervisory decision or an output that required closer scrutiny?
20. Did the system provide an explanation?

    - If yes, in what form? (feature importance, rules, narrative, dashboard, etc.)
    - Was it sufficient for supervisory purposes?
21. Did you trust the output immediately, or did you need further validation?

22. In which types of supervisory tasks does explainability matter most?

Trade-offs in AI

29. If you had to rank the following from most important (1) to least important (5), how would you order them — and why?
    - Accuracy
    - Ease of understanding
    - Cost
    - Compliance
    - Speed

Forward-Looking Reflection

30. What do you see as the future of AI in financial supervision?